

As Tables 7.7 and 7.8 demonstrate, our results support Oppenheimer's conclusion that profitable net net stocks significantly underperformed the loss-makers, and profitable dividend payers significantly underperformed the profitable stocks that did not pay dividends. These findings led Oppenheimer to conclude that choosing only profitable stocks, or profitable dividend-paying stocks, would "not help" an investor, but he may have been understating the case. With the caveat that the volatility-adjusted returns are lower for the loss makers and the non-dividend payers, it's clear that the ugliest of the ugly generate the best returns.⁴⁸

As counterintuitive as these findings appear to be, it is a phenomenon repeated throughout the value investment literature. One famous example is Tom Peters' bestseller published in 1982 called *In Search of Excellence*.⁴⁹ Described as "the greatest business book of all time,"⁵⁰ Peters profiled companies that had been identified as "excellent" on the basis of outstanding financial performance determined on the basis of profitability and growth, and suggested that the companies' attributes could be used as a "blueprint for corporate excellence in general."⁵¹ Those financial performance characteristics included such metrics as asset growth, return on capital, and return on sales. In 1987, five years after the publication of Peters' book, Michelle Clayman conducted a study of the companies identified by Peters, examining 29 of the 36 that were still in existence as independent, publicly listed stocks.⁵² She found that in the five years after Peters had identified these stocks as "excellent," most had experienced declines in growth rates and returns on equity and capital. Eighty-six percent had experienced declines in asset growth rates, 83 percent had lower returns on capital, and 83 percent had lower returns on sales. Only 4 of the 29 companies showed increases on 3 or more attributes. Most were no longer "excellent" companies by Peters' measures. Clayman attributed the declines to "a phenomenon in nature called 'reversion to the mean,' which asserts that, over time, properties of members of groups tend to converge to the average value for the group as a whole [because] economic forces tend to move things towards equilibrium."⁵³

In the world of finance, researchers have shown that returns on equity tend to revert to the mean. Economic theory suggests that markets that offer high returns will attract new entrants, who will gradually drive returns down to general market levels.

Eighteen of Peters' 29 "Excellent" companies—almost two-thirds—underperformed the S&P 500 index, and 11 outperformed. Sixty-nine percent had a drop in price-to-book value ratios. As a portfolio, however, Peters' excellent companies did beat the S&P 500 by 1 percent a year, which